Credit memo: B&G FOODS, INC.

Fiscal year ending 2026-01-03 · generated 2026-11-04T22:41:26Z · writer template

ANALYST REVIEW REQUIRED — decision support only; not a rating, not a probability of default, not a lending decision.

Executive view

B&G FOODS, INC. is assessed for a USD 100m 5-year floating-rate bullet facility at an all-in coupon of 6.0%, to fund capital expenditure.[1–6] This memo summarises the financial profile for the fiscal year ending 2026-01-03 from SEC 10-K XBRL filings, a neural stress screen and mechanical stress tests.[7–8] It supports analyst judgement and makes no lending decision.

Business and financial profile

Revenue was USD 1,829m, down 5.4% year on year.[9–10] EBITDA, approximated as operating income plus depreciation and amortization, was USD 163m, a margin of 8.9%, against -5.6% a year earlier.[11–13] Operating cash flow of USD 101m covered capital expenditure of USD 30.6m, leaving simple free cash flow of USD 70.7m.[14–16] Gross debt stood at USD 1,950m and cash at USD 56.3m, for net debt of USD 1,894m.[17–19] Net debt / EBITDA was 11.59x and EBITDA / interest 1.09x.[20–21] For the credit ratios the filing figures were adjusted to income-statement interest expense; the appendix gives each rule.[22]

Credit strengths

The business generated positive free cash flow of USD 70.7m.[16] Liquidity is solid, with a current ratio of 3.32x.[23]

Key risks

Leverage is high, with net debt / EBITDA of 11.59x.[20] Interest cover is thin, with EBITDA / interest of 1.09x.[21] Revenue fell 5.4% year on year.[10] Some inputs were derived or approximated (3 data warnings); see the evidence appendix.[24]

Risk model

The neural stress screen puts the chance that next year's accounts show financial stress at 80.8%, in the high screening band.[25–26] The largest contributions came from stress tests already failed this year (raising the score) and net debt to EBITDA (raising the score).[27–28] On held-out years the model reached a precision-recall AUC of 0.805, against 0.825 for an XGBoost benchmark.[29–30] The screen is an indicator of accounting stress, not of default, and is one input to analyst judgement.

Proposed facility and stress cases

After the facility, gross debt rises to USD 2,050m and net debt / EBITDA moves to 12.20x, with EBITDA / interest at 1.05x.[31–33] In the downside case (EBITDA -20%, rates +200 bp) net debt / EBITDA reaches 15.26x and EBITDA / interest falls to 0.83x.[34–36] In the severe case (EBITDA -35%, rates +400 bp) net debt / EBITDA reaches 18.78x and EBITDA / interest 0.67x.[37–39] In the analyst's own case (EBITDA -10%, rates +100 bp) net debt / EBITDA is 13.56x and EBITDA / interest 0.94x.[40–42] Against a maximum net debt / EBITDA of 3.50x, the covenant is breached even in the base case, by 8.70x, widening to 11.76x in the downside.[43–45] Against a minimum EBITDA / interest of 3.00x, the covenant is breached even in the base case, by 1.95x, widening to 2.17x in the downside.[46–48] Proceeds spent on capex or acquisitions are assumed to add no EBITDA.

Credit considerations and diligence questions

Is a maximum net debt / EBITDA covenant of 3.50x appropriate given the downside headroom?[43] How much of the existing debt is floating-rate, and is it hedged? Does operating income include one-off items that an adjusted EBITDA would remove? Close the data gaps listed in the appendix before committee.

Assumptions (analysis snapshot d07e1edfc315)

Input	Value
Baseline (credit basis)	EBITDA USD 163.4m, gross debt 1,950.1m, cash 56.3m, interest 149.6m
Cash basis	unrestricted
Facility	USD 100.0m, 5-year, floating at 6.00%, repayment 0.0m a year
Use of proceeds	capex
Existing debt at floating rate	0.00%
Covenants	max net debt / EBITDA 3.50x; min EBITDA / interest 3.00x
Case: Base	EBITDA +0%, rates +0 bp
Case: Downside	EBITDA -20%, rates +200 bp
Case: Severe	EBITDA -35%, rates +400 bp
Case: Your case	EBITDA -10%, rates +100 bp
Snapshot	d07e1edfc315 (loan engine v1.1.0, snapshot format v1)

Evidence appendix

#	Item	Value	Source
1	Borrower	B&G FOODS, INC.	SEC XBRL companyfacts
2	Facility amount	USD 100m	Analyst input in the loan lab
3	Tenor	5-year	Analyst input in the loan lab
4	Structure	floating-rate bullet	Analyst input in the loan lab
5	All-in coupon	6.0%	Analyst input in the loan lab
6	Use of proceeds	capital expenditure	Analyst input in the loan lab
7	Fiscal year end	2026-01-03	SEC XBRL companyfacts
8	Data source	SEC 10-K XBRL filings	SEC XBRL companyfacts
9	Revenue (2026)	USD 1,829m	10-K XBRL RevenueFromContractWithCustomerExcludingAssessedTax, accession 0001104659-26-022961, filed 2026-03-03
10	Size of revenue change	5.4%	Formula |revenue_t / revenue_t-1 - 1| (v1.0.0)
11	EBITDA (approx.) (2026)	USD 163m	Formula operating_income + depreciation_amortization (v1.0.0)
12	EBITDA margin (2026)	8.9%	Formula ebitda / revenue (v1.0.0)
13	EBITDA margin (2024)	-5.6%	Formula ebitda / revenue (v1.0.0)
14	Operating cash flow (2026)	USD 101m	10-K XBRL NetCashProvidedByUsedInOperatingActivities, accession 0001104659-26-022961, filed 2026-03-03
15	Capital expenditures (2026)	USD 30.6m	10-K XBRL PaymentsToAcquirePropertyPlantAndEquipment, accession 0001104659-26-022961, filed 2026-03-03
16	Free cash flow (CFO – capex) (2026)	USD 70.7m	Formula cfo - capex (v1.0.0)
17	Gross debt (2026)	USD 1,950m	Formula short_term_borrowings + current_maturities_ltd + long_term_debt_noncurrent (v1.0.0)
18	Cash and equivalents (2026)	USD 56.3m	10-K XBRL CashAndCashEquivalentsAtCarryingValue, accession 0001104659-26-022961, filed 2026-03-03
19	Net debt (2026)	USD 1,894m	Formula gross_debt - unrestricted_cash (v1.0.0)

#	Item	Value	Source
20	Net debt / EBITDA (2026)	11.59x	Formula net_debt / ebitda (v1.0.0)
21	EBITDA / interest (2026)	1.09x	Formula ebitda / interest_expense (v1.0.0)
22	Credit-basis adjustments	income-statement interest expense	Data-quality checks: R7: income-statement interest expense, net of interest income (InterestIncomeExpenseNonoperatingNet); replaces cash interest paid 149.0m
23	Current ratio (2026)	3.32x	Formula current_assets / current_liabilities (v1.0.0)
24	Data-quality warnings	3	Data-quality checks
25	Next-FY accounting-stress probability	80.8%	Neural stress model stress_mlp_v1; inputs as of 2026-03-03
26	Screening band	high	Neural stress model stress_mlp_v1; inputs as of 2026-03-03
27	Model driver 1	stress tests already failed this year (raising the score)	Neural stress model stress_mlp_v1; inputs as of n/a
28	Model driver 2	net debt to EBITDA (raising the score)	Neural stress model stress_mlp_v1; inputs as of n/a
29	Model held-out PR-AUC	0.805	Frozen test-window evaluation (model card)
30	XGBoost benchmark PR-AUC	0.825	Frozen test-window evaluation (model card)
31	Base case gross debt	USD 2,050m	Loan engine v1.1.0, Base case
32	Base case net debt / EBITDA	12.20x	Loan engine v1.1.0, Base case
33	Base case EBITDA / interest	1.05x	Loan engine v1.1.0, Base case
34	Downside case assumptions	EBITDA -20%, rates +200 bp	Loan engine v1.1.0, Downside case
35	Downside case net debt / EBITDA	15.26x	Loan engine v1.1.0, Downside case
36	Downside case EBITDA / interest	0.83x	Loan engine v1.1.0, Downside case
37	Severe case assumptions	EBITDA -35%, rates +400 bp	Loan engine v1.1.0, Severe case
38	Severe case net debt / EBITDA	18.78x	Loan engine v1.1.0, Severe case
39	Severe case EBITDA / interest	0.67x	Loan engine v1.1.0, Severe case
40	Your case assumptions	EBITDA -10%, rates +100 bp	Loan engine v1.1.0, Your case case
41	Your case net debt / EBITDA	13.56x	Loan engine v1.1.0, Your case case
42	Your case EBITDA / interest	0.94x	Loan engine v1.1.0, Your case case
43	Covenant: maximum net debt / EBITDA	3.50x	Analyst input in the loan lab
44	Base case covenant shortfall (max net debt / EBITDA)	8.70x	Loan engine v1.1.0, Base case
45	Downside case covenant shortfall (max net debt / EBITDA)	11.76x	Loan engine v1.1.0, Downside case
46	Covenant: minimum EBITDA / interest	3.00x	Analyst input in the loan lab
47	Base case covenant shortfall (min EBITDA / interest)	1.95x	Loan engine v1.1.0, Base case
48	Downside case covenant shortfall (min EBITDA / interest)	2.17x	Loan engine v1.1.0, Downside case

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